

SENATE No. 2993

Senate, February 26, 2026 -- Text of the Senate amendment to the House Bill to build resilient infrastructure to generate higher-ed transformation (House, No. 4769) (being the text of Senate document numbered 2962, printed as amended)

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

1 SECTION 1. To provide for a program of capital improvements to public higher
2 education institutions to provide support for these institutions in carrying out their educational
3 missions and to enhance regional economic development through their educational initiatives,
4 the sums set forth in sections 2 to 2B, inclusive, for the several purposes and subject to the
5 conditions specified in this act, are hereby made available, subject to the laws regulating the
6 disbursement of public funds, which sums shall be in addition to any other amounts previously
7 appropriated for these purposes.

8 SECTION 2.

9 EXECUTIVE OFFICE FOR ADMINISTRATION AND FINANCE

10 Division of Capital Asset Management and Maintenance

11 7066-8001 For costs associated with deferred maintenance, modernization,
12 decarbonization and major capital projects, planning and studies, dispositions, acquisition of land
13 and buildings and interests therein by purchase or by eminent domain under chapter 79 of the
14 General Laws and for the preparation of plans and specifications, repairs, construction,

15 renovations, improvements, maintenance and repair, asset management and demolition at state
16 university and community college campus facilities and grounds; provided, that all projects
17 approved for design and construction by the division of capital asset management and
18 maintenance shall be consistent in priority and need with campus master plans developed by the
19 division of capital asset management and maintenance, in consultation with the presidents of the
20 state universities and community colleges and approved by the secretary of education and the
21 secretary of administration and finance; provided further, that all maintenance and repair work
22 funded by this item shall be included in the capital asset management information system
23 administered by the division of capital asset management and maintenance; provided further, that
24 costs payable from this item shall include, but not be limited to, the costs of design, architecture
25 and engineering and other services essential to the managing of projects under this item and
26 rendered by division of capital asset management and maintenance employees or by consultants;
27 and provided further, that amounts expended for division employees may include the salary and
28 salary-related expenses of these employees to the extent that they work on or in support of the
29 projects authorized under this item.....\$1,250,000,000

30 7066-8002 For costs associated with plans and specifications, planning and studies,
31 dispositions, acquisition of land and buildings and interests therein by purchase or by eminent
32 domain under chapter 79 of the General Laws, redevelopment, demolition, remediation,
33 relocation and other capital projects to support the transition of campus facilities and real
34 property for the purposes of housing and mixed use development with the approval of the
35 secretary of administration and finance, in consultation with the secretaries of education and
36 housing and livable communities; provided, that funds from this item may be granted to the
37 Massachusetts State College Building Authority established pursuant to chapter 703 of the acts

38 of 1963, as amended, for the purpose of supporting adaptive reuse of state university and
39 community college campus facilities for housing and associated infrastructure with the approval
40 of the secretary of administration and finance, in consultation with the secretaries of education
41 and housing and livable communities; provided further, that funds shall be expended by the
42 division of capital asset management and maintenance to assess the development of student,
43 seasonal and year-round workforce housing on real property at Cape Cod Community College
44 deemed surplus to the current and foreseeable needs of Cape Cod Community College pursuant
45 to section 34A of chapter 7C of the General Laws; provided further, that the division shall
46 prepare a report which shall include, but shall not be limited to, a plan for the construction of
47 such housing, including projected units, infrastructure needs, necessary funding, identification of
48 funding sources and appropriate reuse restrictions; and provided further, that not later than June
49 30, 2027, the division shall submit the report to the clerks of the senate and house of
50 representatives, the house and senate committees on ways and means and the joint committee on
51 housing\$100,000,000

52 7066-8003 For costs associated with developing decarbonization plans for
53 Massachusetts public institutions of higher education and costs associated with decarbonization
54 and energy efficiency projects, including, but not limited to, preparation of plans and
55 specifications, electrification and replacement of fossil fuel-dependent campus and building
56 infrastructure, renovation of building envelopes to reduce energy consumption, purchase and
57 installation of energy efficiency or other capital equipment, construction, reconstruction,
58 renovation, demolition and other improvements and retrofits to facilities including those
59 necessary for the installation and use of such equipment and for decarbonization grants to public
60 institutions of higher education; provided, that all projects approved for design and construction

61 by the commissioner of the division of capital asset management and maintenance under this
62 item shall be consistent with approved decarbonization plans developed by the division of capital
63 asset management and maintenance.....\$80,000,000

64 7066-8004 For costs associated with: (i) laboratory modernization, furnishing,
65 equipping and related safety, ventilation, rehabilitation, construction, reconstruction and other
66 associated renovations to support laboratory modernization at public institutions of higher
67 education in the commonwealth; (ii) repair, renovation, furnishing, construction, reconstruction,
68 remediation, modernization and equipping of facilities at Massachusetts community colleges and
69 vocational technical schools to support collaborations between Massachusetts community
70 colleges and vocational technical schools; and (iii) repair, renovation, furnishing, construction,
71 reconstruction, remediation, modernization and equipping of facilities to support student health,
72 mental health, wellness, accessibility, equity, safety, community engagement and other student
73 support needs at Massachusetts public higher education campuses; provided, that not later than
74 December 31, 2026, the secretary of administration and finance and the secretary of education
75 shall jointly submit an annual report to the clerks of the house of representatives and the senate,
76 the house and senate committees on ways and means and the joint committee on higher
77 education detailing: (i) the number of stackable credentials earned by students across
78 collaborations between Massachusetts community colleges and vocational technical schools; (ii)
79 the percentage of vocational technical school students utilizing programs or facilities at partner
80 Massachusetts community colleges; and (iii) each project from initiation to completion,
81 including project phase, cost and anticipated completion date.....\$120,000,000

82 7066-8005 For costs associated with developing campus master plans for
83 Massachusetts public institutions of higher education\$30,000,000

7066-8006 For costs associated with addressing the Huntington Tower building at the
Massachusetts College of Art and Design.....\$275,000,000

7066-8007 For higher education capital projects; provided, that not less than
\$15,000,000 shall be expended for North Shore Community College for capital improvements to
support academic expansion and program development at their campus in the city of Lynn;
provided further, that not less than \$20,000,000 shall be expended for Fitchburg State University
for the renovation of the McKay complex; provided further, that not less than \$30,000,000 shall
be expended for Northern Essex Community College for facilities for high school career and
technical education; provided further, that not less than \$20,000,000 shall be expended for
Bridgewater State University for costs associated with renovations to Tillinghast hall; provided
further, that not less than \$2,200,000 shall be expended for Massachusetts Bay Community
College for the replacement of its HVAC system; provided further, that not less than \$3,000,000
shall be expended for Massachusetts Bay Community College for window replacement at the
Carey building; provided further, that not less than \$20,000,000 shall be expended for the
Massachusetts Maritime Academy to expand and renovate the student wellness, recreation and
workforce development center; provided further, that the first phase of said project shall be the
expansion of the center, which shall be sequenced prior to renovations to the existing structure;
provided further, that not less than \$20,000,000 shall be expended to Springfield Technical
Community College for infrastructure updates and facility improvements; provided further, that
not less than \$20,000,000 shall be expended to Cape Cod Community College for costs relating
to the construction of a student-centered facility that allows for the expansion of nursing and
allied health programs and provides additional school convening space; provided further, that
funds shall be expended for Worcester State University for the consolidation of the learning

107 resource center and the student center; provided further, that not less than \$14,200,000 shall be
108 expended for Quinsigamond Community College for campuswide HVAC repairs and for
109 accessibility and life safety upgrades to the administration building and child study center;
110 provided further, that not less than \$20,000,000 shall be expended for Middlesex Community
111 College for infrastructure improvements including, but not limited to, Americans with
112 Disabilities Act upgrades and modernization at the Cowan center and the implementation of
113 geothermal energy technology for energy optimization and decarbonization at the campus in the
114 city of Lowell; provided further, that not less than \$30,000,000 shall be expended for the
115 renovation of the Sullivan building at Salem State University; provided further, that not less than
116 \$12,000,000 shall be expended for capital construction, renovation, restoration and related
117 infrastructure improvements associated with the rehabilitation and adaptive reuse of the David
118 Dudley house at Roxbury Community College for the center for economic and social justice
119 which may include, but shall not be limited to, costs related to design, construction, accessibility
120 upgrades, building systems modernization, historic preservation, workforce training space
121 development and associated site improvements; provided further, that not less than \$5,000,000
122 shall be expended to the University of Massachusetts at Amherst Gloucester marine station
123 located in the city of Gloucester to support the development of housing for students at the
124 station; provided further, that such housing may be developed in collaboration with other
125 educational institutions; provided further, that not less than \$10,000,000 shall be expended for
126 the University of Massachusetts at Amherst Gloucester marine station in the city of Gloucester
127 for the planning, design and construction of facilities that increase access to water and coastal
128 resources and laboratory and classroom space and facilitate the development, research and
129 analysis of structures, mechanisms and technologies to capture carbon and counteract erosion

130 and other adverse impacts of coastal storms and sea level rise; provided further, that not less than
131 \$20,000,000 shall be expended for the Massachusetts Maritime Academy to provide the capital
132 needs and equipment necessary to maintain the schooner SSV Ernestina-Morrissey for
133 educational programming including, but not limited to: (i) infrastructure needs to maintain the
134 vessel in its homeport of the city of New Bedford; and (ii) an education center adjacent to the
135 vessel's berthing space at the New Bedford state pier for cadets and students to explore the
136 vessel's Cape Verdean heritage and immigration routes, the history of the local working
137 waterfront and sail training with an emphasis on maritime career pathways; provided further, that
138 not less than \$20,000,000 shall be expended for the Manning College of Nursing & Health
139 Sciences at the University of Massachusetts at Boston for the development of a new facility on
140 the Columbia Point campus and the acquisition or lease of a new satellite campus in the
141 Dorchester section of the city of Boston; provided further, that not less than \$5,000,000 shall be
142 expended for Berkshire Community College for maintenance, modernization and critical system
143 upgrades at the Koussevitzky arts center; provided further, that not less than \$15,000,000 shall
144 be expended for the Massachusetts College of Liberal Arts for the renovation of Mark Hopkins
145 hall and the demolition of Eldridge hall; provided further, that not less than \$20,000,000 shall be
146 expended for the University of Massachusetts at Dartmouth for costs associated with the
147 construction of a wellness and safety complex; provided further, that not less than \$30,000,000
148 shall be expended for Framingham State University for capital improvements and expansion at
149 the Henry Whittemore library; provided further, that not less than \$20,000,000 shall be expended
150 for Greenfield Community College for capital investments to promote collaboration with
151 vocational technical and career technical schools; provided further, that not less than
152 \$20,000,000 shall be expended for Bristol Community College for costs associated with

153 improvements and renovations to the Commonwealth College Center building; provided further,
154 that not less than \$20,000,000 shall be expended for Holyoke Community College for deferred
155 maintenance and capital projects; provided further, that not less than \$15,000,000 shall be
156 expended for Mount Wachusett Community College for capital improvements and deferred
157 maintenance; and provided further, that not less than \$10,000,000 shall be expended for
158 renovation of the Bunker Hill Community College auditorium which may include, but shall not
159 be limited to, improved accessibility, modernized seating and modernized systems including, but
160 not limited to, electrical and lighting, audio and visual technology and backstage areas to
161 increase functionality for a diversity of uses for the college and the community in the
162 Charlestown section of the city of Boston\$436,400,000

163 7100-1001 For costs associated with deferred maintenance, modernization,
164 decarbonization and major capital projects, planning and studies, dispositions, acquisition of land
165 and buildings and interests therein by purchase or by eminent domain under chapter 79 of the
166 General Laws, for the preparation of plans and specifications, repairs, construction, renovations,
167 improvements, maintenance and repair, asset management and demolition at the University of
168 Massachusetts campus facilities and grounds; provided, that all projects approved for design and
169 construction by the division of capital asset management and maintenance shall be consistent in
170 priority and need with a campus master plan approved by the president of the University of
171 Massachusetts and the board of trustees of the University of Massachusetts; provided further,
172 that all maintenance and repair work funded by this item shall be included in the capital asset
173 management information system administered by the division of capital asset management and
174 maintenance; provided further, that costs payable from this item shall include, but not be limited
175 to, the costs of design, architecture and engineering and other services essential to these projects

176 rendered by division of capital asset management and maintenance employees or by consultants;
177 and provided further, that amounts expended for division employees may include the salary and
178 salary-related expenses of these employees to the extent that they work on or in support of these
179 projects.....\$1,250,000,000

180 SECTION 2A.

181 EXECUTIVE OFFICE FOR ADMINISTRATION AND FINANCE

182 Office of the Secretary

183 1100-2523 For a grant program to be administered by the executive office for
184 administration and finance, in consultation with the executive office of education, to provide
185 funding for repairs, construction, reconstruction, demolition, remediation, rehabilitation,
186 modernization, disposition, renovations, improvements and maintenance, decarbonization and
187 climate resilience upgrades and other related capital projects at public higher education
188 campuses; provided, that the executive office for administration and finance shall consider
189 equitable distribution of grants among the university of Massachusetts segment, the state
190 university segment and the community college segment, including, but not limited to, equitable
191 geographic distribution across the commonwealth when awarding grants under this
192 item.....\$50,000,000

193 SECTION 2B.

194 EXECUTIVE OFFICE OF TECHNOLOGY SERVICES AND SECURITY

195 Office of the Secretary

196 1790-3019 For costs associated with technology capital projects and initiatives that
197 facilitate or enhance remote and hybrid learning opportunities and student support at
198 Massachusetts public institutions of higher education, including, but not limited to, the
199 preparation of plans and specifications, purchase, procurement, acquisition, licensing and
200 implementation of information technology, telecommunications and data-security-related
201 equipment, hardware, software, systems, including, but not limited to, enterprise resource
202 planning systems and intellectual property and related projects approved by the secretary of
203 technology services and security, in consultation with the secretary of administration and
204 finance.....\$20,000,000

205 EXECUTIVE OFFICE OF EDUCATION

206 Office of the Secretary

207 7009-2009 For a competitive grant program to be administered by the executive
208 office of education, in consultation with the executive office of economic development and the
209 executive office of labor and workforce development, to provide funding for the purchase and
210 installation of equipment and related improvements and renovations to facilities necessary for the
211 installation and use of such equipment and to establish, upgrade and expand career technical
212 education and training programs that are aligned with regional economic and workforce
213 development priorities; provided, that grant applications may facilitate collaboration to provide
214 students enrolled in high schools with vocational and technical programs with postsecondary
215 opportunities consistent with those reported in clause (o) of the first paragraph of section 22 of
216 chapter 15A of the General Laws and section 37A of chapter 74 of the General Laws; provided
217 further, that grants may be made available to eligible vocational technical schools to provide

218 such opportunities to students enrolled in high schools with vocational and technical programs ;
219 and provided further, that the executive office of education shall consider the equitable
220 distribution of grants among the university of Massachusetts segment, the state university
221 segment and the community college segment, including, but not limited to, equitable geographic
222 distribution across the commonwealth when awarding grants under this
223 item.....\$100,000,000

224 SECTION 3. Section 5 of chapter 7C of the General Laws, as appearing in the 2024
225 Official Edition, is hereby amended by inserting after the third sentence the following sentence:-

226 Notwithstanding the foregoing, the commissioner may delegate control and supervision
227 over projects involving structural or mechanical work with an estimated cost of less than
228 \$10,000,000 to the Massachusetts State College Building Authority if the commissioner
229 determines that the Massachusetts State College Building Authority has the ability to control and
230 supervise such project.

231 SECTION 4. Said chapter 7C is hereby further amended by inserting after section 34 the
232 following section:-

233 Section 34A. (a)(1) Notwithstanding section 34, if the chancellor or president of a public
234 institution of higher education as defined in section 5 of chapter 15A, determines, with the
235 approval of the commissioner of higher education, that real property of any such public
236 institution of higher education is surplus to the current and foreseeable needs of the public
237 institution of higher education, the commissioner may dispose of such property permanently or
238 temporarily pursuant to this section; provided, however, that the public institution of higher

education's board of trustees may disapprove the determination within 60 days after the chancellor or president makes such determination.

(2) Any disposition pursuant to paragraph (1) shall be subject to section 36.

(b) If the commissioner determines that a property is surplus to the current and foreseeable needs of a public institution of higher education, the commissioner shall provide written notice, for each city or town in which the property is located, to: (i) the city manager in the case of a city having a Plan E form of government, the mayor and city council in the case of all other cities, the town manager in a town having a town council form of government, the select board in all other towns ; (ii) the county commissioners, where applicable; (iii) the regional planning agency; and (iv) the members of the general court who represent the city or town wherein the property is located. The notice shall include a description of the property and a declaration that the property is surplus to the current or foreseeable needs of the public institution of higher education.

(c)(1) If the commissioner determines that the property is surplus to the current and foreseeable needs of such institution and that the property should be disposed of, either temporarily or permanently, the commissioner shall declare that the property is available for disposition and shall determine appropriate reuse restrictions.

(2) The commissioner shall ensure that any deed, lease agreement or separate disposition agreement as deemed appropriate by the commissioner, sets forth the reuse restrictions pursuant to paragraph (1). The deed, lease or other agreement shall provide: (i) for effective remedies on behalf of the commonwealth including, if deemed appropriate by the commissioner, that title to or lesser interest in the property subject to the disposition agreement shall revert to the

commonwealth if there is a violation of any reuse restriction; and (ii) in the case of a disposition to a public agency for a direct public use, that the title to or lesser interest in the property subject to the disposition agreement shall revert to the commonwealth if the property ceases to be used for a direct public use.

(3)(A) In determining reuse restrictions under paragraph (2), the commissioner shall comply with all restrictions pertaining to the property which may have been mandated by the general court and may adopt additional restrictions, taking into account any established state and local plans and policies.

(B) The commissioner shall conduct a public hearing to consider reuse restrictions under paragraph (2) if the property exceeds 2 acres or if the gross square footage of all structures on the property is greater than or equal to 150,000 square feet; provided, however, that the commissioner may hold a hearing for the reuse of a smaller parcel. Notice of the public hearing shall be: (i) published at least once each week for the 4 consecutive weeks preceding the hearing in newspapers with sufficient circulation to inform the public in the affected municipality; (ii) posted on the department's website; and (iii) published in the central register pursuant to section 20A of chapter 9. The hearing shall be held in the municipality in which the property is located not less than 30 days and not more than 35 days after notice thereof is published in the central register. After the hearing is conducted, the commissioner shall make a draft of any reuse restrictions and make such draft available to the public and shall accept written comments thereon for 21 days after the draft has been made available to the public. If after the hearing is conducted the commissioner determines that no reuse restrictions are necessary, the commissioner shall make that determination available to the public and accept written comments thereon for 21 days after such determination has been made available to the public.

(d) The commissioner shall provide for an appraisal of the property using generally accepted appraising practices for determining the property value, for both its highest and best use as currently encumbered and under the reuse restrictions as determined pursuant to this section. The commissioner shall submit the appraisal to the inspector general for review and comment. The inspector general shall review and approve the appraisal and the review shall include an examination of the methodology utilized for the appraisal. The inspector general shall prepare and file a report with the commissioner. The commissioner shall submit copies of the appraisal and the inspector general's review and approval and comments, if any, to the house and senate committees on ways and means and the joint committee on state administration and regulatory oversight not less than 15 days prior to the execution of any documents effecting the disposition.

(e) No deed executed by or on behalf of the commonwealth and no lease agreement for the rental or other disposition of state-owned real property disposed of pursuant to this section shall be valid unless the agreement or deed contains the following declaration, signed by the commissioner:

"The undersigned certifies under the penalties of perjury that I have fully complied with sections 34A and 36 of chapter 7C of the General Laws in connection with the disposition of the property described herein."

(g) The proceeds realized from the conveyance, lease or other disposition of real property pursuant to this section shall be deposited into the Commonwealth Public Higher Education Capital Projects Fund established in section 2000000 of chapter 29; provided, however, that any such proceeds realized from the conveyance, lease or other disposition of real property from

305 a public institution of higher education pursuant to this section shall be made available to such
306 institution.

307 SECTION 5. Section 59 of said chapter 7C, as appearing in the 2024 Official Edition, is
308 hereby amended by striking out, in lines 18 to 20, inclusive, the words “No provider of design
309 services for any building project for which a state agency is the using agency shall be selected by
310 the designer selection board or by the administering agency and no” and inserting in place
311 thereof the following words:- For any building project with an estimated construction cost
312 greater than \$500,000, no.

313 SECTION 6. Said chapter 7C is hereby further amended by adding the following
314 section:-

315 Section 74. (a) Annually, not later than December 31, the commissioner and the secretary
316 of administration and finance, in consultation with the president of the University of
317 Massachusetts, the presidents of the state universities, the presidents of the community colleges,
318 the University of Massachusetts Building Authority and the Massachusetts State College
319 Building Authority, shall jointly submit a comprehensive report on capital expenditures for
320 public higher education to the clerks of the senate and house of representatives, the senate and
321 house committees on ways and means and the joint committee on higher education.

322 (b)(1) The report shall include an executive summary synthesizing capital investments,
323 outcomes and system-wide trends across items 7066-8001, 7066-8004 and 7100-1001.

324 (2) The executive summary shall include, but shall not be limited to: (i) total capital
325 expenditures, delineated by institution type and project category; (ii) system-wide progress
326 toward decarbonization, deferred maintenance reduction and programmatic modernization,

including comparative cost and timeline analysis with key contextual factors; (iii) identification of cross-institutional best practices and recommendations for improving capital project delivery efficiency and coordination; and (iv) a system-wide forecast of capital needs and funding gaps.

(c) The report shall include, but shall not be limited to: (i) a list of public institutions of higher education and capital facility projects receiving funds; (ii) the associated amounts committed and expended for each project; (iii) a categorization of each project by primary purpose, including decarbonization, programmatic improvements and deferred maintenance, including critical repairs to campus or building infrastructure; (iv) a summary of how campus master plan priorities informed the annual project selection process, including any deviations from stated priorities and the rationale for such deviations; (v) an annual statement of cash inflows and outflows detailing the sources and uses of funds; (vi) the cumulative amount of funds committed versus expended; (vii) a forecast of future expenditures based on committed projects; (viii) a detailed breakdown of costs charged, including design, architecture, engineering and consultant services, division of capital asset management and maintenance employee salary and salary-related expenses and other administrative costs; (ix) a status report tracking each project from initiation to completion, including project phase, anticipated completion date and confirmation that relevant data has been entered into the capital asset management information system; and (x) outcome metrics for completed projects, including, but not limited to: (A) square footage constructed, renovated or demolished; (B) estimated annual emissions reductions measured in metric tons of carbon dioxide equivalent; (C) the estimated dollar value of deferred maintenance addressed; and (D) for land or building acquisitions, the purpose and strategic value of the acquisition relative to institutional master planning goals.

SECTION 7. Section 20 of chapter 29 of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by striking out the third paragraph and inserting in place thereof the following paragraph:-

In order to increase the marketability of any such bonds or notes issued by the commonwealth and in consideration of the acceptance of payment for any such bonds or notes, the commonwealth covenants with the purchasers and all subsequent holders and transferees of any such bonds or notes that while any such bond or note shall remain outstanding, and so long as the principal of or interest on any such bond or note shall remain unpaid: (i) no pledged funds shall be diverted from the Commonwealth Transportation Fund; (ii) in any fiscal year of the commonwealth and until an appropriation has been made which is sufficient to pay the principal, including sinking fund payments, of and interest on all such bonds and notes of the commonwealth and to provide for or maintain any reserves, additional security, insurance or other forms of credit enhancement required or provided for in any trust agreement securing any such bonds or notes, no pledged funds shall be applied to any other use; and (iii) so long as such revenues are necessary, as determined by the state treasurer in accordance with any applicable trust agreement or credit enhancement agreement, for the purposes for which they have been pledged and, notwithstanding any general or special law to the contrary, the rates of the fees collected under sections 33 and 34 of chapter 90 and of the excises imposed in chapters 64A, 64E and 64F shall not be reduced below the amount in effect at the time of issuance of any such bond or note, the rates of the excise imposed in subsection (d) of section 4 of chapter 62 shall not be reduced below the amount in effect at the time of issuance of any such bond or note and the dedicated transportation income surtax revenue amount as defined in paragraph (a) of section

2BBBBBB of chapter 29 shall not be reduced below the amount in effect at the time of issuance of any such bond or note.

SECTION 8. Said chapter 29 is hereby further amended by striking out section 2BBBBBB, as amended by section 18 of chapter 9 of the acts of 2025, and inserting in place thereof the following section:-

Section 2BBBBBB. (a) As used in this section, the following words shall have the following meanings unless the context clearly requires otherwise:

“Dedicated higher education income surtax revenue amount”, the amount of \$125,000,000 for each fiscal year, to be credited to the Commonwealth Public Higher Education Capital Projects Fund established in section 2000000.

“Dedicated transportation income surtax revenue amount”, the amount of \$550,000,000 for each fiscal year, to be credited to the Commonwealth Transportation Fund established in section 2ZZZ;

“Income surtax”, the tax specified in subsection (d) of section 4 of chapter 62.

“Income surtax revenue”, tax revenue from the tax specified in said subsection (d) of said section 4 of said chapter 62, as adjusted, pursuant to Article XLIV of the Amendments to the Constitution of the Commonwealth.

“Remaining income surtax revenue”, in each fiscal year, the income surtax revenue less the dedicated transportation income surtax revenue amount and the dedicated higher education income surtax revenue amount and in each calendar quarter, the portion of the income surtax revenue collected in such calendar quarter less the portion attributable to the dedicated

transportation income surtax revenue amount and the dedicated higher education income surtax revenue amount.

(a 1/2) The dedicated transportation income surtax revenue amount shall be credited to the Commonwealth Transportation Fund established in section 2ZZZ. The sums to be credited to the Commonwealth Transportation Fund under this subsection are hereby impressed with a trust for the benefit of the holders from time to time of any special obligation bonds or notes payable solely from monies credited to the Commonwealth Transportation Fund as provided in section 2O. Any increase in capacity to issue special obligation bonds or notes payable under said section 2O shall be for approved transportation projects in geographically equitable locations; provided, however, that said increase in capacity shall not be used to support or fund, in whole or in part, a single transportation project with a total project cost, regardless of source, in excess of \$1,000,000,000 unless the borrowing for the project is specifically authorized and approved by the general court after being proposed in the 5-year spending plan required by this paragraph; and provided further, that the Massachusetts Department of Transportation shall maintain a public website to track and monitor spending and progress on projects funded as a result of the increase in capacity to issue special obligation bonds or notes from the dedicated transportation income surtax revenue amount dedicated pursuant to this section. Annually, not later than October 31, the secretary of administration and finance shall submit a report to the joint committee on transportation and the chairs of the senate and house committees on ways and means detailing: (i) approved transportation projects funded during the prior fiscal year; (ii) a 5-year spending plan for the project, in whole or in part, by special obligation bonds or notes issued by virtue of the increase in bonding capacity from the dedicated transportation income

414 surtax revenue amount dedicated pursuant to this section; and (iii) the bonds or notes issued or
415 scheduled to be issued.

416 (b) There shall be established and set up on the books of the commonwealth a separate
417 fund known as the Education and Transportation Fund. The fund shall be credited with: (i)
418 remaining income surtax revenue, following the application of the dedicated higher education
419 income surtax revenue amount and the dedicated transportation income surtax revenue amount to
420 their respective funds in that order; (ii) appropriations or other money authorized or transferred
421 by the general court and specifically designated to be credited to the fund; (iii) funds from public
422 and private sources, including, but not limited to, gifts, grants and donations; and (iv) any
423 interest earned on the assets of the fund. Amounts credited to the fund shall be expended, subject
424 to appropriation, for quality public education and affordable public colleges and universities and
425 for the repair and maintenance of roads, bridges and public transportation. The fund shall not be
426 subject to section 5C.

427 (c) Quarterly, the comptroller shall transfer from the Education and Transportation Fund
428 the amount of tax revenues the department of revenue estimates to have been collected from
429 income surtax revenue that exceeds the threshold established pursuant to subsection (g), as
430 follows: (i) 15 per cent of such amount shall be transferred to the Education and Transportation
431 Reserve Fund established in section 2CCCCCC; and (ii) 85 per cent of such amount shall be
432 transferred to the Education and Transportation Innovation and Capital Fund established in
433 section 2DDDDDD; provided, however, that if in any year the transfer required under clause (i)
434 would cause the balance of the Education and Transportation Reserve Fund to exceed 33 per cent
435 of the threshold established pursuant to said subsection (g), such transfer shall be adjusted to

meet a total balance of 33 per cent and all remaining funds shall be transferred to the Education and Transportation Innovation and Capital Fund.

(d) Income surtax revenues shall not be subject to the allowable state tax revenue limitations established by chapter 62F. Annually, not later than September 1, the commissioner of revenue shall estimate, for the preceding fiscal year, the amount of revenue to exclude from the calculation pursuant to chapter 62F and shall include such estimate in the report submitted to the state auditor pursuant to subsection (a) of section 5 of said chapter 62F; provided, however, that such estimate shall be final.

(e) Income surtax revenues shall not be considered tax revenues collected from capital gains income for the purposes of section 5G. The commissioner of revenue shall estimate, in the capital gains tax certification in the fourth quarter of the fiscal year, the amount of revenue to exclude from the section 5G calculation; provided, however, that this estimate shall be final.

(f) Annual expenditures from the Education and Transportation fund shall not exceed that year's spending threshold, less the dedicated transportation income surtax revenue amount and the dedicated higher education income surtax amount. Each year's spending threshold shall be equal to the prior year spending threshold plus an adjustment factor equal to the 10-year rolling rate of growth of income subject to the tax specified under subsection (d) of section 4 of chapter 62 as certified by the commissioner of revenue. For years in which the tax specified in said subsection (d) of said section 4 of said chapter 62 was not in effect, the commissioner shall calculate the amount of income that would have been subject to the taxes, adjusted for increases in the cost of living in the same manner as described in Article XLIV of the Amendments to the

457 Constitution of the Commonwealth and set forth pursuant to said subsection (d) of said section 4
458 of said chapter 62.

459 (g) Any expenditure authorized from the Education and Transportation Fund shall be
460 subject to sections 9B and 9C, without respect to whether such purposes would otherwise be
461 subject to allotment; provided, however, that section 9C shall only apply where the amount of
462 certified revenue in any fiscal year is less than the annual spending threshold established under
463 subsection (f).

464 SECTION 9. Section 2CCCCCC of said chapter 29, as appearing in the 2024 Official
465 Edition, is hereby amended by inserting after the figure “2BBBBBB”, in line 16, the following
466 words:- and the Commonwealth Public Higher Education Capital Projects Fund established
467 under section 2OOOOOO.

468 SECTION 10. Said chapter 29 is hereby further amended by inserting after section
469 2NNNNNN the following section:-

470 Section 2OOOOOO. (a) There shall be established and set up on the books of the
471 commonwealth a separate non-budgeted special revenue fund to be known as the
472 Commonwealth Public Higher Education Capital Projects Fund, which shall be administered by
473 the secretary of administration and finance. The fund shall be credited with: (i) the dedicated
474 higher education income surtax revenue amount under section 2BBBBBB; (ii) appropriations or
475 other money authorized or transferred by the general court and specifically designated to be
476 credited to the fund; (iii) funds from public and private sources, including, but not limited to,
477 gifts, grants and donations; and (iv) any interest earned on the assets of the fund.

Amounts credited to the fund shall be expended, without further appropriation, for the following purposes in the following priority order: (i) to pay or reimburse the General Fund for payment of debt service on bonds issued by, or otherwise payable under a lease of other contract assistance agreement by, the commonwealth for public higher education purposes; (ii) for pay-go capital funding of projects that address deferred maintenance at public higher education campuses; and (iii) for pay-go funding of specifically authorized projects at public higher education campuses with capital authorizations enacted by the general court. Annually, not later than September 30, the secretary of administration and finance shall submit a report to the joint committee on higher education and the senate and house committees on ways and means detailing fund activity including, but not limited to, the amount of pay-go capital funding expended in the prior year delineated by project.

The unexpended balance in the fund at the end of a fiscal year shall remain available for expenditure in subsequent fiscal years. The fund shall not be subject to section 5C. No expenditure made from the fund shall cause the fund to be in deficit at any point.

(b)(1) The sums to be credited to the Commonwealth Public Higher Education Capital Projects Fund under this section are hereby impressed with a trust for the benefit of the holders from time to time of any special obligation bonds or notes payable solely from monies credited to the fund. When authorized by a vote taken by the yeas and nays of two-thirds of each house of the general court present and voting on such authorization, the state treasurer, upon the request of the governor, may issue bonds of the commonwealth as hereinafter provided. Any such bonds shall be special obligations of the commonwealth payable solely from monies credited to the fund; provided, however, that notwithstanding any general or special law to the contrary,

including, but not limited to, section 60A, such bonds shall not be general obligations of the commonwealth.

(2) Bonds may be issued pursuant to paragraph (1) in such manner and on such terms and conditions as the state treasurer may determine in accordance with this paragraph and, to the extent not inconsistent with this paragraph, the General Laws for the issuance of bonds of the commonwealth. Bonds may be secured by a trust agreement entered into by the state treasurer, with the concurrence of the secretary of administration and finance, on behalf of the commonwealth, which trust agreement may pledge or assign all or any part of monies credited to the Commonwealth Public Higher Education Capital Projects Fund and rights to receive the same, whether existing or coming into existence and whether held or thereafter acquired, and the proceeds thereof. The state treasurer may, with the concurrence of the secretary of administration and finance, enter into additional security, insurance or other forms of credit enhancement which may be secured on a parity or subordinate basis with the bonds. A pledge in any such trust agreement or credit enhancement agreement shall be valid and binding from the time such pledge shall be made without any physical delivery or further act and the lien of such pledge shall be valid and binding against all parties having claims of any kind in tort, contract or otherwise, whether such parties have notice thereof or not. Any such pledge shall be perfected by filing of the trust agreement or credit enhancement agreement in the records of the state treasurer and no filing need be made pursuant to chapter 106. Any such trust agreement or credit enhancement agreement may establish provisions defining defaults and establishing remedies and other matters relating to the rights and security of the holders of the bonds or other secured parties as determined by the state treasurer, including provisions relating to the establishment of reserves, the issuance of additional or refunding bonds, whether or not secured on a parity basis, the

application of receipts, monies or funds pledged pursuant to such agreement, the regulation of the custody, investment and application of monies and such other matters deemed necessary or desirable by the state treasurer for the security of such bonds. Any such bonds shall be deemed to be investment securities under chapter 106, securities in which any public officer, fiduciary, insurance company, financial institution or investment company may properly invest funds and securities which may be deposited with any public custodian for any purpose for which the deposit of bonds is authorized by law. Any such bonds, the transfer of such bonds and the income from such bonds, including profit on the sale of such bonds, shall at all times be exempt from taxation by and within the commonwealth.

(3) The provisions of this section relating to bonds shall also be applicable to the issuance of notes insofar as such provisions may be appropriate for such notes.

(4) In order to increase the marketability of any such bonds or notes issued by the commonwealth pursuant to this section and in consideration of the acceptance of payment for any such bonds or notes, the commonwealth covenants with the purchasers and all subsequent holders and transferees of any such bonds or notes that while any such bond or note shall remain outstanding, and so long as the principal of or interest on any such bond or note shall remain unpaid: (i) no pledged funds shall be diverted from the Commonwealth Public Higher Education Capital Projects Fund; (ii) in any fiscal year of the commonwealth and until an appropriation has been made which is sufficient to pay the principal, including sinking fund payments, of and interest on all such bonds and notes of the commonwealth and to provide for or maintain any reserves, additional security, insurance or other forms of credit enhancement required or provided for in any trust agreement securing any such bonds or notes, no pledged funds shall be applied to any other use; and (iii) so long as such revenues are necessary, as determined by the

state treasurer in accordance with any applicable trust agreement or credit enhancement agreement, for the purposes for which they have been pledged, and, notwithstanding any general or special law to the contrary, the rates of the excise imposed in subsection (d) of section 4 of chapter 62 shall not be reduced below the amount in effect at the time of issuance of any such bond or note, and the dedicated higher education income surtax revenue amount as defined in subsection (a) of section 2BBBBBB shall not be reduced below the amount in effect at the time of issuance of any such bond or note.

SECTION 11. Said chapter 29 is hereby further amended by striking out section 5I, as appearing in the 2024 Official Edition, and inserting in place thereof the following section:-

Section 5I. (a) Quarterly, not later than February 20, May 20, July 20 and October 20, pursuant to paragraph (1) of subsection (b), and annually, not later than November 30, pursuant to paragraph (2) of said subsection (b), the commissioner of revenue shall certify to the comptroller the amount of tax revenues estimated to have been collected during the preceding period due to the additional 4 per cent income tax levied pursuant to Article XLIV of the Amendments of the Constitution of the Commonwealth with adjustments described in subsection (c).

(b)(1) For the purposes of this section, quarterly periods shall be defined as October 1 to January 31, inclusive, February 1 to April 30, inclusive, May 1 to June 30, inclusive, and July 1 to September 30, inclusive.

(2) Each quarterly period certification under subsection (a) shall include, as necessary, adjustments to estimates made with respect to prior quarters of the same fiscal year; provided, however, that annually, not later than November 30, the commissioner shall issue to the

comptroller the preliminary certification of tax revenues collected during the preceding fiscal year due to the additional 4 per cent income tax levied pursuant to Article XLIV of the Amendments of the Constitution of the Commonwealth, plus adjustments as necessary for prior fiscal years.

(3) Each quarterly period certification shall include the total balance, in the aggregate, of the funds established in sections 2BBBBBB to 2DDDDDD, inclusive.

(c) Upon the quarterly certification by the commissioner pursuant to subsection (a), the comptroller shall transfer quarterly all such certified revenue, as provided in subsection (b) of section 2BBBBBB, net of all necessary adjustments, from the General Fund. Transfers shall be credited in the same fiscal year during which the certification is issued; provided, however, that any transfers resulting from the July 20 certification shall be credited in the fiscal year ending on the immediately preceding June 30.

SECTION 12. Section 1 of chapter 703 of the acts of 1963, as most recently amended by section 121 of chapter 68 of the acts of 2011, is hereby further amended by striking out paragraph (e) and inserting in place thereof the following paragraph:-

(e) "Project", the construction of new buildings or structures and the acquisition, addition to, alteration, enlargement, reconstruction, rehabilitation, remodeling and other similar work, including, but not limited to, the alteration or modification of existing facilities or the construction of additional or new facilities required or authorized by changes in or enactments of new law or regulation or changes in or new circumstances including, but not limited to, provision for access or use by persons with a disability, provision for conservation of energy, provision for safety and security of persons and property, provision for other compliance with changed or new

law, regulation or circumstance, in or upon or respecting existing buildings or structures, the provision and installation therein or in respect thereof of furnishings, furniture, machinery, equipment, facilities, approaches, driveways, walkways, parking areas, planting and landscaping, the acquisition of land, other property, rights, easements and interests acquired for or in respect to any thereof, the demolition or removal of any buildings or structures, including buildings or structures owned by the commonwealth on land so acquired or interests in which are so acquired and site preparation, with respect to which the Authority shall provide by resolution for the issuance of a series of bonds or notes; provided, however, that the term “project” shall also include the control and supervision of a building project delegated to the Authority by the commissioner of capital asset management and maintenance pursuant to section 5 of chapter 7C of the General Laws; and provided further, that whenever appropriate the term “project” shall also include such land, buildings or structures and such appurtenances.

SECTION 13. Section 2 of said chapter 703 of the acts of 1963, as most recently amended by section 6 of chapter 258 of the acts of 2008, is hereby further amended by striking out the second paragraph and inserting in place thereof the following paragraph:-

The Authority shall consist of 9 members appointed by the governor, of whom 3 members shall be appointive members of the trustees and shall be graduates of a state college or university; 1 member, who shall serve as a non-voting member, appointed by the council of presidents of the Massachusetts state university system who shall be a president of a Massachusetts state university or a designee; and 1 member, who shall serve as a non-voting member, appointed by the Massachusetts association of community colleges who shall be a president of a Massachusetts community college or a designee. The members appointed from the appointive members of the trustees shall serve as members of the Authority so long as they serve

on the board of trustees, and such dual membership shall not invalidate any action heretofore or hereafter taken by the Authority or by the trustees in which such a member of the Authority holding such dual membership has participated or may participate; provided, however, that all other members shall serve for a term expiring on June 30 in the sixth calendar year next after the calendar year in which the term of office of such member began, except that a person appointed to fill a vacancy in any such membership shall serve only for the remainder of the unexpired term; provided, however, that each member shall continue in office until the successor of such member shall have been appointed and qualified, but the term of office of a member appointed other than from the appointive members of the trustees shall be deemed to have commenced in the calendar year in which the stated term of office of the predecessor of such member shall have expired. Any member of the Authority may be removed by the governor for cause after notice and a public hearing unless such notice and hearing are expressly waived in writing. The Authority shall annually elect from its members a chair, a vice-chair and a secretary-treasurer and may elect an assistant secretary-treasurer who need not be a member of the Authority. Members who serve as non-voting members shall have the right to be present at any meeting and involved in any matters relating to official business of the Authority and the right to receive all information, reports, studies and other relevant information that voting members are entitled to receive.

SECTION 14. Said section 2 of said chapter 703 of the acts of 1963, as so amended, is hereby further amended by striking out the words "Before the issuance of any bonds under the provisions of this act the secretary-treasurer and the assistant secretary-treasurer, if any, of the Authority shall each execute a surety bond in the penal sum of fifty thousand dollars, such surety bond to be conditioned upon the faithful performance of the duties of his office, to be executed

by a surety company authorized to transact business in the commonwealth as surety and to be approved by the attorney general and filed in the office of the secretary of the commonwealth.”.

SECTION 15. Section 3 of said chapter 703, as most recently amended by section 122 of chapter 68 of the acts of 2011, is hereby further amended by striking out the first and second sentences and inserting in place thereof the following 2 sentences:-

The Authority is created for the general purposes of aiding and contributing to the performance of the educational and other purposes of the state universities and community colleges by providing academic and administrative facilities, campus infrastructure, improvements related to energy efficiency and decarbonization, dormitories, dining commons and other buildings, structures and facilities designed primarily for housing, feeding, medical care, parking, athletics, cultural, extracurricular and other student life activities and services primarily: (i) for the use by 1 or more state universities or community colleges, students, staff and their dependents; (ii) for lease to or use by an organization or association, in any form, of students or others for activities which are a part of the activities at 1 or more state universities or community colleges and subject to regulation by the trustees; or (iii) for lease to or use by any other entity for activities which are approved by the trustees as furthering the purposes of 1 or more of the state universities or community colleges, any of the foregoing of which may be located at such places as the trustees may designate and may be provided in collaboration with, and for joint use by, other agencies, boards, commissions or departments and authorities created by the laws of the commonwealth; provided, however, that the Authority shall not provide housing facilities at community colleges unless the board of higher education authorizes the action. The Authority shall not initiate any project except upon written request made by authority of the trustees and upon written approval from the secretary of administration and finance and

the secretary of education. Any project initiated by the Authority shall be consistent with the campus master plan for the state university or community college.

SECTION 16. Section 4 of said chapter 703 of the acts of 1963, as most recently amended by section 50 of chapter 122 of the acts of 2006, is hereby further amended by striking out paragraph (c) and inserting in place thereof the following paragraph:-

(c) To maintain an office in the commonwealth.

SECTION 17. The first paragraph of section 7 of said chapter 703 of the acts of 1963, as appearing in section 3 of chapter 290 of the acts of 1998, is hereby amended by striking out the words “; provided, however, that the Authority shall not issue such notes or bonds until a majority of the members of the Authority shall certify in writing to the secretary of administration and finance: (1) that they have notified all qualified managing underwriters based in the commonwealth of the Authority’s intention to issue such notes or bonds; and (2) that such underwriters have been given an equal opportunity to submit proposals”.

SECTION 18. Notwithstanding any general or special law to the contrary, to meet the expenditures necessary to carry out section 2 of this act, the state treasurer shall, upon request of the governor, issue and sell bonds of the commonwealth in an amount to be specified by the governor from time to time but not exceeding, in the aggregate, \$3,541,400,000. All bonds issued by the commonwealth as provided in this section shall be designated on their face, Public Higher Education Capital Expenditure Act of 2025, and shall be issued for a maximum term of years, not to exceed 30 years, as the governor may recommend to the general court under section 3 of Article LXII of the Amendments to the Constitution. The bonds shall be payable not later than June 30, 2070. All interest and payments on account of principal on these obligations shall

be payable from the Commonwealth Public Higher Education Capital Projects Fund established in section 2000000 of chapter 29 of the General Laws. Bonds and interest on bonds issued under this section shall, notwithstanding any other provision of this act, be special obligations of the commonwealth. Such bonds shall not be included in the computation of outstanding bonds for purposes of the limit imposed by the second paragraph of section 60A of said chapter 29, nor shall debt service with respect to such bonds be included in the computation of the limit imposed by section 60B of said chapter 29.

SECTION 19. Notwithstanding any general or special law to the contrary, to meet the expenditures necessary to carry out sections 2A and 2B of this act, the state treasurer shall, upon request of the governor, issue and sell bonds of the commonwealth in an amount to be specified by the governor from time to time but not exceeding, in the aggregate \$170,000,000. All bonds issued by the commonwealth as aforesaid shall be designated on their face, Public Higher Education Capital Expenditure Act of 2025, and shall be issued for a maximum term of years, not to exceed 30 years, as the governor may recommend to the general court under section 3 of Article LXII of the Amendments to the Constitution. The bonds shall be payable not later than June 30, 2070. All interest and payments on account of principal on these obligations shall be payable from the Commonwealth Public Higher Education Capital Projects Fund established in section 2000000 of chapter 29 of the General Laws. Bonds and interest on bonds issued under this section shall, notwithstanding any other provision of this act, be special obligations of the commonwealth. Such bonds shall not be included in the computation of outstanding bonds for purposes of the limit imposed by the second paragraph of section 60A of said chapter 29, nor shall debt service with respect to such bonds be included in the computation of the limit imposed by section 60B of said chapter 29.

704 SECTION 20. Not later than March 1, 2027, the commissioner of capital asset
705 management and maintenance shall submit the first report required pursuant to section 74 of
706 chapter 7C of the General Laws.

707 SECTION 21. Notwithstanding any general or special law to the contrary, in fiscal year
708 2027, amounts credited to the Commonwealth Public Higher Education Capital Projects Fund
709 established in section 2000000 of chapter 29 of the General Laws shall be subject to
710 appropriation.